

ECON 4T03: Advanced Economic Theory I

Summer 2026

Instructor Information

Instructor Name: Rumen Kostadinov

Email: kostadir@mcmaster.ca

Office hours: Posted on Avenue to Learn (A2L)

Course Information

Lectures: see Avenue to Learn (A2L)

Labs: No

Tutorials: No

Course Dates: 2026/06/29- 2026/08/14

Units: 3.0

Course Delivery Mode: Virtual

Course Description: Mathematically oriented approaches to the analysis of the behaviour of individual consumers, workers and firms.

Hours of Study: 5-6 hours of lecture each week.

Meeting Details

There are two online lectures each week on Tuesday and Thursday, 9am-12pm on Zoom (see Avenue to Learn). Lecture recordings will be made available on Avenue to Learn.

Important Links

- [Mosaic](#)
- [Avenue to Learn](#)
- [Student Accessibility Services - Accommodations](#)

- [McMaster University Library](#)
- [eReserves](#)

Course Learning Outcomes

Students will learn rigorously the fundamental building blocks of economic theory including consumer choice, general equilibrium, and choice under uncertainty.

Course Learning Goals

Students will understand the role of assumptions in economics models. They will learn to make rigorous arguments translating economic intuition into mathematical reasoning.

Materials and Fees

The course will be based on my lectures. The key definitions and theorems will be provided in my lecture notes. These notes, however, will not have all the examples and explanations from my class lectures.

Following a textbook is not necessary but you may find the following textbook useful. Keep in mind that some of the definitions I present will be different.

- "Advanced Microeconomic Theory," Geoffrey A. Jehle and Philip J. Reny, 3rd edition 2010, Pearson

The next textbook can be useful for review of intermediate microeconomics (ECON 2Z03 and ECON 2ZZ3). However, the material is generally below the level of this course.

- "Microeconomic Theory: Basic Principles and Extensions," by Walter Nicholson and Christopher Snyder, 12th edition, South-Western.

Course Evaluation

- We will have two midterm exams and one final exam. Each term test will be worth 30% and the final exam will be worth 40%. The final exam will cover all the course material. Only the approved calculator (Casio FX-991) can be used during exams.
- Exams are online submitted as an assignment on Avenue.

Course Evaluation Details

- The exams are tentatively scheduled as follows:
Midterm 1: July 14, 9:00-11:10
Midterm 2: July 28, 9:00-11:10
Final Exam: August 13, 9:00-12:10

- If your performance on the final exam is better than the performance on any midterm, your grade for the midterm will be replaced by your grade on the final. In other words, you can improve your midterm grades by doing better in the final. Do not become complacent because of this opportunity. Falling behind makes it very difficult to pass the course.
- It is my general policy not to allow questions during exams. This may be different from your experience in other courses. See below for my policy on exam questions at the end of this document.

Grading Scale

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Grade	Equivalent Grade Point	Equivalent Percentages
A+	12	85-100
A	11	78-84
A-	10	72-77
B+	9	66-71
B	8	60-65
B-	7	54-59
C+	6	50-53
C	5	46-49
C-	4	40-45
D	2	35-39
F	0	0-34

Course Schedule

Preferences and Consumer Theory (week 1,2)

General Equilibrium (week 3,4)

Choice under Uncertainty (week 5,6)

Asymmetric Information (week 6,7)

There will be weekly problem sets. They are not graded but it is essential that you work through them and contact me with any questions and concerns. I will post short answers guiding you through the problems, but I expect you to write your own solutions. This is essential practice for the exams, since exams build on the exercises from the problem sets as well as the material covered in class.

Absences, Missed Work or Illness

There are no alternative dates to write the exams. In the event of absence your midterm grade will equal your grade in the final exam (see policy above). In particular, there is no need to submit any documentation, MSAF, or otherwise.

Turnitin.com

Some courses may use a web-based service (Turnitin.com) to reveal authenticity and ownership of student submitted work. For students using such software, students will be expected to submit their work electronically either directly to Turnitin.com or via an online learning platform (e.g. A2L, etc.) using plagiarism detection (a service supported by Turnitin.com) so it can be checked for academic dishonesty.

Students who do not wish their work to be submitted through the plagiarism detection software must inform the Instructor before the assignment is due. No penalty will be assigned to a student who does not submit work to the plagiarism detection software. All submitted work is subject to normal verification that standards of academic integrity have been upheld (e.g., on-line search, other software, etc.). For more details about McMaster's use of Turnitin.com please go to www.mcmaster.ca/academicintegrity.

Course Modification

The instructor and university reserve the right to modify elements of the course during the term. The university may change the dates and deadlines for any or all courses in extreme circumstances. If either type of modification becomes necessary, reasonable notice and communication with the students will be given with an explanation and the opportunity to comment on changes. It is the responsibility of the student to check their McMaster email and course websites weekly during the term and to note any changes.

Generative AI

Generative AI: Some Use Permitted

Students may use generative AI throughout this course in whatever way enhances their learning; no special documentation or citation is required. The only exception is that the use of AI is prohibited during exams (which are closed-book).

QUESTIONS DURING EXAM

What to do if you think an exam question is ambiguous and want clarification on how to interpret it?

Part of every exam is comprehending what you are asked to do from the instructions alone. Reading them carefully should alleviate any confusion, as long as you're familiar with all the terminology introduced in class. Do not make assumptions about what is being asked; just answer the question as stated. If you still believe the question is ambiguous, state clearly on the exam where the ambiguity is and make a reasonable assumption that allows you to solve the question. You can bring this to my attention after the exam and I will take it under consideration. However, this doesn't mean you are free to inject your own assumptions. If it turns out that the question is correctly stated you will lose marks for making unnecessary assumptions.

If you understand the exam question but you believe it is asking you to show something is false, state that the claim is false and demonstrate it. In this case, you do not need to change assumptions to make the claim true. If the claim is indeed false, you will get full marks for demonstrating this.

Why are questions forbidden?

If I or a TA help you interpret the question, we would be putting you at an advantage relative to the other students. Even if we announce it for everyone in the classroom, there may be students writing with SAS or at an alternative time/location for various reasons and it would be unfair to them.

Are there any questions that are allowed?

You can ask questions about the exam instructions (i.e. whether calculators are allowed, how much time is left). You should note to the invigilator if you think your copy of the exam is incomplete, illegible, or otherwise compromised.

APPROVED ADVISORY STATEMENTS

Academic Integrity

You are expected to exhibit honesty and use ethical behaviour in all aspects of the learning process. Academic credentials you earn are rooted in principles of honesty and academic integrity. **It is your responsibility to understand what constitutes academic dishonesty.**

Academic dishonesty is to knowingly act or fail to act in a way that results or could result in unearned academic credit or advantage. This behaviour can result in serious consequences, e.g. the grade of zero on an assignment, loss of credit with a notation on the transcript (notation reads: "Grade of F assigned for academic dishonesty"), and/or suspension or expulsion from the university. For information on the various types of academic dishonesty please refer to the [Academic Integrity Policy](https://secretariat.mcmaster.ca/university-policies-proceduresguidelines/), located at <https://secretariat.mcmaster.ca/university-policies-proceduresguidelines/>

The following illustrates only three forms of academic dishonesty:

- plagiarism, e.g. the submission of work that is not one's own or for which other credit has been obtained.
- improper collaboration in group work.
- copying or using unauthorized aids in tests and examinations.

Authenticity / Plagiarism

Some courses may use a web-based service (Turnitin.com) to reveal authenticity and ownership of student submitted work. For courses using such software, students will be expected to submit their work electronically either directly to Turnitin.com or via an online learning platform (e.g. Avenue to Learn, etc.) using plagiarism detection (a service supported by Turnitin.com) so it can be checked for academic dishonesty.

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Email Communication

Effective September 1, 2010, it is the policy of the Faculty of Social Sciences that all e-mail communication sent from students to instructors (including Tasks), and from students to staff, must originate from the student's own McMaster University e-mail account. This policy protects confidentiality and confirms the identity of the student. It is the student's responsibility to ensure that communication is sent to the university from a McMaster account. If an instructor becomes aware that a communication has come from an alternate address, the instructor may not reply at his/her/their discretion.

Courses with an On-line Element

Some courses may use on-line elements (e.g. e-mail, Avenue to Learn, LearnLink, web pages, capa, Moodle, ThinkingCap, etc.). Students should be aware that, when they access the electronic components of a course using these elements, private information such as first and last names, usernames for the McMaster e-mail accounts, and program affiliation may become apparent to all other students in the same course. The available information is dependent on the technology used. Continuation in a course that uses on-line elements will be deemed consent to this disclosure. If you have any questions or concerns about such disclosure, please discuss this with the course instructor.

Online Proctoring

Some courses may use online proctoring software for tests and exams. This software may require students to turn on their video camera, present identification, monitor and record their computer activities, and/or lock/restrict their browser or other applications/software during tests or exams. This software may be required to be installed before the test/exam begins.

Conduct Expectations

As a McMaster student, you have the right to experience, and the responsibility to demonstrate, respectful and dignified interactions within all of our living, learning and working communities. These expectations are described in the [Code of Student Rights & Responsibilities](#) (the “Code”). All students share the responsibility of maintaining a positive environment for the academic and personal growth of all McMaster community members, **whether in person or online.**

It is essential that students be mindful of their interactions online, as the Code remains in effect in virtual learning environments. The Code applies to any interactions that adversely affect, disrupt, or interfere with reasonable participation in University activities. Student disruptions or behaviours that interfere with university functions on online platforms (e.g. use of Avenue 2 Learn, WebEx or Zoom for delivery), will be taken very seriously and will be investigated. Outcomes may include restriction or removal of the involved students’ access to these platforms.

Academic Accommodation of Students with Disabilities

Students with disabilities who require academic accommodation must contact [Student Accessibility Services](#) (SAS) at 905-525-9140 ext. 28 652 or sas@mcmaster.ca to make arrangements with a Program Coordinator. For further information, consult McMaster University’s [Academic Accommodation of Students with Disabilities](#) policy.

Requests for Relief for Missed Academic Term Work

In the event of an absence for medical or other reasons, students should review and follow the [Policy on Requests for Relief for Missed Academic Term Work](#).

Academic Accommodation for Religious, Indigenous, or Spiritual Observances (RISO)

Students requiring academic accommodation based on religious, indigenous or spiritual observances should follow the procedures set out in the [RISO](#) policy. Students should submit their request to their Faculty Office ***normally within 10 working days*** of the beginning of term in which they anticipate a need for accommodation or to the Registrar's Office prior to their examinations. Students should also contact their instructors as soon as possible to make alternative arrangements for classes, assignments, and tests.

Copyright and Recording

Students are advised that lectures, demonstrations, performances, and any other course material provided by an instructor include copyright protected works. The Copyright Act and copyright law protect every original literary, dramatic, musical and artistic work, **including lectures** by University instructors.

The recording of lectures, tutorials, or other methods of instruction may occur during a course. Recording may be done by either the instructor for the purpose of authorized distribution, or by a student for the purpose of personal study. Students should be aware that their voice and/or image may be recorded by others during the class. Please speak with the instructor if this is a concern for you.

Extreme Circumstances

The University reserves the right to change the dates and deadlines for any or all courses in extreme circumstances (e.g., severe weather, labour disruptions, etc.). Changes will be communicated through regular McMaster communication channels, such as McMaster Daily News, Avenue to Learn and/or McMaster email.